

Opinion **Lex**

Walmart: inflation means retail giant is no longer cheap and chirpy

Drastic measures taken to ensure its shelves are stocked for the holiday season have come at a cost



To break out of range bound trading, Walmart will have to find new sources of growth © Bloomberg

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Who's afraid of the big, bad price rise? Not Americans. US inflation may have hit a [31-year high](#) in October. But consumers are still eager to [spend](#).

This should be good news for Walmart. The world's biggest bricks-and-mortar retailer reported strong [third quarter sales](#) and raised its full-year outlook. Supply chain disruptions and fears of empty shelves are prompting many Americans to get a head start on their holiday shopping this year.

Do not be fooled by the topline growth. There are reasons shares in Walmart have gone nowhere this year. The stock is down 3 per cent, compared to the near-50 per cent gains at rivals Target and Home Depot.

To ensure that its shelves are stocked for the holidays, Walmart has taken drastic measures, including using air freight and chartering its own cargo ships. This has helped the company increase US inventory by 11.5 per cent during the quarter.

That has come at a cost. Gross margins fell 42 basis points to 24.6 per cent. This compares to 34.1 per cent at Home Depot and the 30 per cent reported by Target during the second quarter.

Pressure will persist. Labour shortages mean low-waged Walmart will need to pay up for workers.

Home Depot sells bulky items that cannot be readily ordered from Amazon. Target has strong in-house brands that help protect margins. But Walmart is more exposed to the inflationary squeeze. It has greater exposure to grocery, where profits are notoriously thin. Many of the products it carries can readily be bought elsewhere. A slowdown in online sales growth is worrying.

Walmart still trades at a premium to Target, which is on 21 times forward earnings. But the valuation has dropped from 27 to 23 times over the past year. To break out of range bound trading, Walmart will have to find new sources of growth. Potential catalysts include its advertising business and its marketplace unit where third party vendors sell their wares.

Walmart, once written off as a doomed physical retailer, has staged a remarkable recovery. The era of rising inflation means another reinvention is required.

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